PORTLAND PUBLIC SCHOOLS
OFFICE OF OPERATIONS

501 North Dixon Street / Portland, OR 97227
Telephone: (503) 916-2000
Mailing Address: P. O. Box 3107 / 97208-3107

STAFF MEMO

Date: April 18, 2025

To: Board of Education

From: Dan Jung, Chief Operating Officer
Stormy Shanks, Senior Director, Office of School Modernization

Subject: High School Modernization Cost Analysis

In April and May 2024, the Board of Education (Board) approved comprehensive plans for Cleveland High School (CHS)[1] and Ida B. Wells High School (IBW)[2] and authorized an update to the comprehensive plan for Jefferson High School (JHS).[3]

In November 2024, concerns over the total project costs led to the suspension of the design phases of all three modernization projects. At that time, the Board requested a comparison of project costs, including a detailed cost comparison report.[4]

On February 11, the Board provided Staff with guidance in the form of a cost reduction "framework." The framework outlines general directions for reducing project costs.[5]

On March 4 the Board approved Resolution No. 7067[6] requiring that Staff return to the Board with progress updates.

Staff have presented progress updates at the March 18, 2025 and April 8, 2025 Board meetings including presenting updated designs, projected cost reductions and how the designs compare to PPS's High School Education Specifications and previous projects.

Project Updates: April 22, 2025

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[1] Resolution 6901
[2] Resolution 6900
[3] For further details, see Board materials from May 7, 2024 and April 2, 2024
[4] PPS HS Cost Comparison, and Staff Memo: High School Cost Comparison Report
[5] For further details, see Board materials from February 11, 2025
[6] Resolution 7067

The updated project designs align with the guidance of the Board's framework including, but not limited to:

- Total square footage for each project is approximately 295,000 square feet
- All three projects include a student Health Center, and Jefferson and Cleveland also include a Teen Based Parent Centers
- All projects continue to design all electric infrastructure
- All projects continue to conform to PPS's Equity in Contracting Policy and Administrative Directives

The following data show in tabular (see Exhibit A) and graphical formats summaries of the area programs for Jefferson, Cleveland, and Wells high schools alongside those for the PPS Education Specification and Lincoln High School. Lincoln High School is chosen to represent previous high school modernizations because it is characteristically similar to the current three modernizations: It is an Ed Spec comprehensive high school, it is designed for a capacity of 1,700 students, and it was a full demolition and rebuild of the school building.

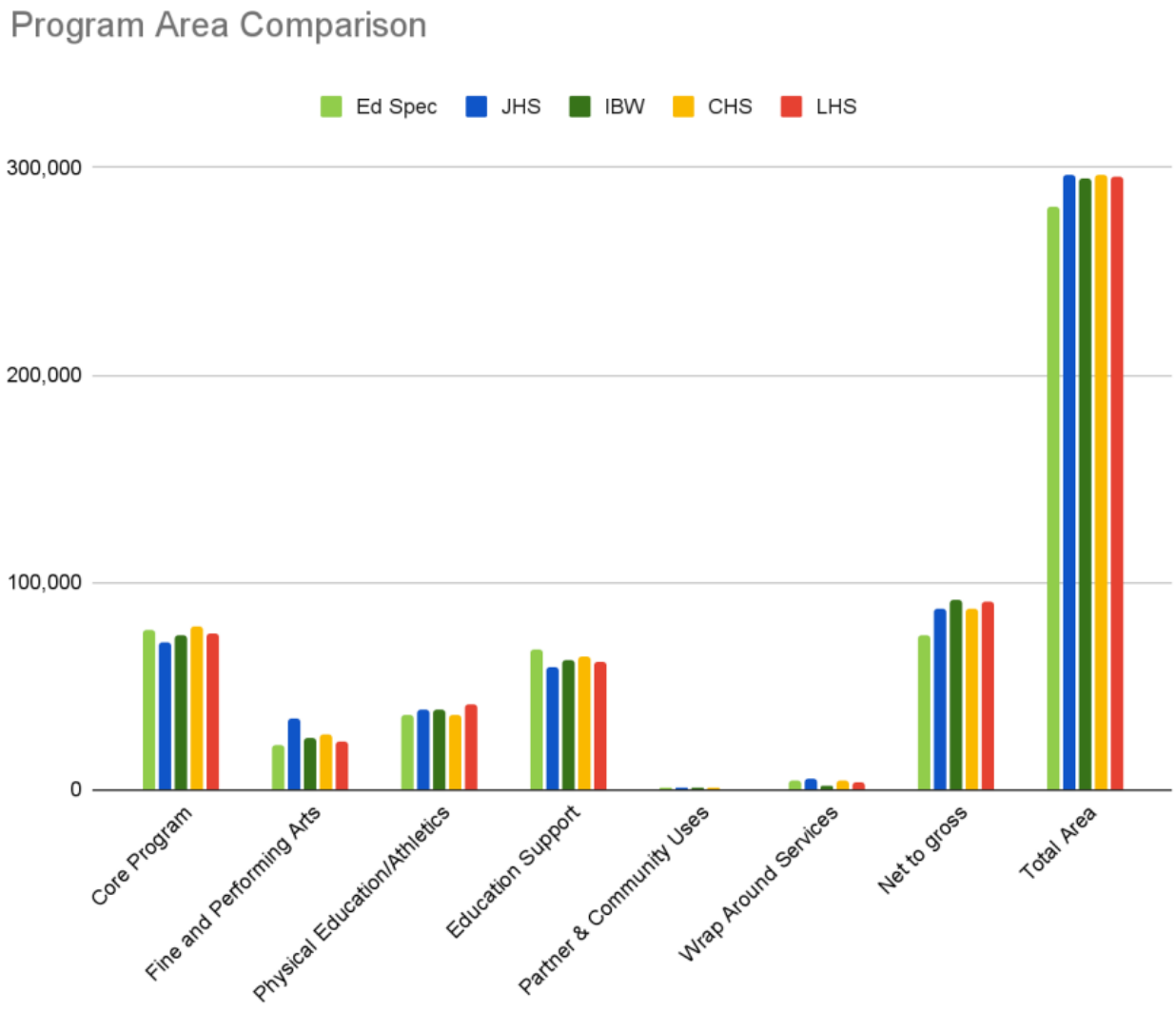


Figure 1. Ed Spec and Modernization Program Area Comparison

Notes:

- *The Ed Spec includes recommended, preferred, and optional program areas. The recommended areas in the Ed Spec are generally considered to be the "minimum" Ed Spec areas. The Ed Spec areas shown in this data represent the "recommended" program areas only.*
- *The term "Net to gross" is the space in the building that is not part of one of the other categories of program space. Examples are corridors, stairs, shafts, and wall thickness.*
- *The PPS Education Specifications for Comprehensive High Schools are available here: chrome-extension://efaidnbmnnnibpcajpcglclefindmkaj/https://www.pps.net/cms/lib/OR01913224/Centricity/Domain/58/PPS%20Comp%20HS%20Ed%20Specs%20September%2017.pdf*

The next key step is for each team to finalize their design concept revisions and submit updated plans to third-party cost estimators. Refined cost estimates - along with the updated schematic designs and project schedules - will be presented to the Board when the updated information is ready, approximately June/July, 2025.

The combined projects continue to forecast total savings ranging from $67 million to $33 million.[7] This range is largely based on savings from the recent design changes. The teams have prioritized attention on cost savings measures that impact the project design in an effort to expedite any design decision therefore allowing the projects to proceed as quickly as possible thereby limiting design, permit and construction delays. **The teams continue to actively pursue additional cost-saving opportunities.** They are evaluating the insurance requirements in our CM/GC contract to reduce insurance costs. Evaluations of the costs and benefits of structural and mechanical system alternatives will continue into the new schematic design phase. The teams are also exploring ways to strengthen our CM/GC contract requirements to improve auditability of costs and clarify the documentation required to show that the contractor's labor rates include only the overhead costs allowed in the contract.

It's also worth noting that although the projects have realized cost reductions due to design changes, some costs have increased including design fees to make changes to design documents that reflect cost savings strategies. Because the projects have been paused, construction start dates will be later than the assumptions in their comprehensive plans' estimates. More construction escalation is included in the cost reduction ranges than was included in the Comprehensive Plans presented a year ago.

Staff will provide a holistic, and updated, project cost with the updated Comprehensive Plans.

[7] Please be advised that these estimates are preliminary and subject to change. The figures provided are based on rough order of magnitude cost estimates from the project teams. Several factors may influence these projections, including potential schedule delays, escalation changes, and tariff fluctuations.